higher education & training

Department:
Higher Education and Training
REPUBLIC OF SOUTH AFRICA

NATIONAL CERTIFICATE (VOCATIONAL)

ECONOMIC ENVIRONMENT
NQF LEVEL 2

(3011022)

20 November 2019 (Y-Paper)
13:00–15:30

This question paper consists of 9 pages.

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TIME: 2½ HOURS
MARKS: 150

INSTRUCTIONS AND INFORMATION

1. Answer ALL the questions.
2. Read ALL the questions carefully.
3. Number the answers according to the numbering system used in this question paper.
4. Write neatly and legibly.

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SECTION A

QUESTION 1

1.1 Various options are given as possible answers to the following questions. Choose the answer and write only the letter (A–D) next to the question number (1.1.1–1.1.10) in the ANSWER BOOK.

1.1.1 The law of supply states that when the price of a product increases, the quantity supplied …

A decreases.
B increases.
C is doubled.
D must be stopped.

1.1.2 Which sector of the economy consists of businesses that are registered and pay tax?

A Formal sector
B Informal sector
C Primary sector
D Secondary sector

1.1.3 Which ONE of the following is characterised by low economic activity?

A Culture
B Inflation
C A trough
D Stabilisation

1.1.4 The improvement of goods and services is influenced by the presence of …

A buildings.
B experience.
C youth.
D technology.

1.1.5 The manner in which a country's currency is expressed in terms of another country's currency:

.

A International trade
B Dollar
C Exchange rate
D Barter trade

1.1.6 Poverty, poor education and health are created by …

A unemployment.
B drought.
C globalisation.
D HIV/Aids.

1.1.7 Which ONE of the following refers to microeconomics?

A Hiring a car at Budget Rentals
B A change in inflation
C An increased rate of unemployment
D Poverty

1.1.8 … value is created when goods are stored until they are needed.

A Possession
B Form
C Time
D Place

1.1.9 The main aim of production is to …

A satisfy economic output.
B develop employment opportunities.
C satisfy human needs and wants.
D develop GDP.

1.1.10 … records the country's involvement in international trade.

A The credit account
B Delayed payments
C Recorded transactions
D The current account

(10 × 1) (10)

1.2 Choose the description from COLUMN B that matches a word in COLUMN A. Write only the letter (A–K) next to the question number (1.2.1–1.2.10) in the ANSWER BOOK.

COLUMN A		COLUMN B	
1.2.1	Trade bloc	A	habits, beliefs and lifestyle of people
1.2.2	Infrastructure	B	situation in which businesses are free to import and export goods
1.2.3	Traditional economic system	C	smoothing out the fluctuations in economic activity
1.2.4	Stabilisation policy	D	business operating in an international market
1.2.5	Free trade	E	a group of countries united by trade agreements
1.2.6	Tertiary sector	F	a general price increase
1.2.7	Culture	G	solving economic questions by tradition
1.2.8	Contraction phase	H	basic structures a society needs to produce and consume
1.2.9	Interest rate	I	characterised by a decline in economic activity
1.2.10	Globalisation	J	determining the amount of money that has to be paid for credit
		K	supermarket

(10 × 1) (10)
[20]

QUESTION 2

2.1 Determine whether the following statements are examples of physical, social or economic environments. Write only 'Physical environments', 'Social environments' or 'Economic environments' next to the question number (2.1.1–2.1.5) in the ANSWER BOOK.

2.1.1 Unemployed people have low purchasing power.

2.1.2 Global warming affects the agricultural sector.

2.1.3 Big events like world cup competitions have a huge economic benefit for a country.

2.1.4 Major natural disasters have severe effects on economic activities.

2.1.5 Businesses and consumers react differently to inflation.

(5 × 1) (5)

2.2 Answer the following questions based on the economic environment of businesses:

2.2.1 Name THREE economic events that affect a business. (3)

2.2.2 What will be the banks' response if the South African Reserve Bank decreases the repo rate? (2)

[10]

TOTAL SECTION A: 30

SECTION B

QUESTION 3

3.1 Study the following extract carefully and answer the questions.

> Inflation in South Africa slowed to 4,4% from 4,7% in December, Statistics South Africa said Wednesday in a report on its website.

3.1.1 Explain the term *inflation*. (2)

3.1.2 Briefly explain in FIVE points why demand–pull inflation occurs. (5 × 2) (10)

3.1.3 Give and explain THREE economic factors that can increase the inflation rate. (3 × 2) (6)

3.1.4 When does cost–push inflation occur? (2)

3.2 Assume that the rand–dollar exchange rate is $1= R12.

3.2.1 How much will it cost in South African rand to buy a bridal dress for $250? (2)

3.2.2 If the exchange rate appreciated by 10%, what will be the new exchange rate? (4)

3.2.3 How much will a South African citizen pay at the new exchange rate for the bridal dress that costs $250? (2)

3.2.4 What effect does the new exchange rate have on the South African economy? (2)

[30]

QUESTION 4

Study the picture below and answer the questions.



[Source: *www.google.co.za/url*]

4.1 Identify TWO natural disasters from the picture above. (2)

4.2 Give and describe the main causes of natural disasters. (3 × 2) (6)

4.3 List THREE elements of fiscal policy that can be utilised by government in response to a natural disaster. (3)

4.4 Consumer goods can be affected by natural disasters.

Briefly explain the THREE categories of consumer goods. (3 × 2) (6)

4.5 Briefly discuss how natural disasters could lead to poverty. (9)

4.6 Define the term *globalisation*. (2)

4.7 What effect do cheap imported goods have on the manufacturing industry in South Africa? (2)

[30]

QUESTION 5

5.1 Exportation in South Africa consists mainly of platinum and other minerals. The price of platinum is at R980.

5.1.1 How much will it cost the United States to buy platinum from South Africa if the rand–dollar exchange rate is $1 = R13,50?

5.1.2 How much will it cost European countries that use the euro as their currency to buy platinum from South Africa if the exchange rate is €1 = R16,00?

(2 × 2) (4)

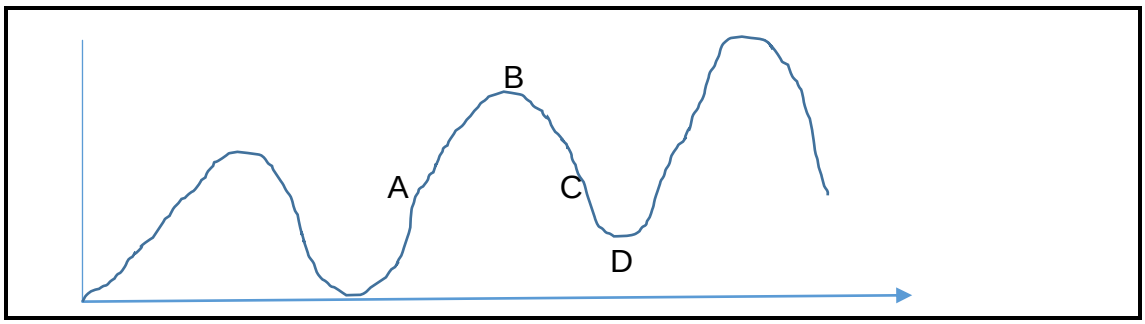
5.2 South Africa may decide to supply platinum to countries in which the money is good.

5.2.1 Describe the THREE determinants of supply. (3 × 2) (6)

5.2.2 List FOUR characteristics of money. (4)

5.2.3 Give THREE advantages of international trade. (3 × 2) (6)

5.3 Study the trade cycle below and answer the questions.



5.3.1 Label the letters (marked A–D) on the above business cycle diagram. (4)

5.3.2 What characterises the economic cycle labelled A? (2)

5.3.3 Why would households be worried if the economy led to cycle C? (2)

5.3.4 What will the situation in economic cycle C bring about? (2)
[30]

QUESTION 6

6.1 Name FOUR incentives for exports in South Africa. (4)

6.2 What is the difference between a *trade deficit* and a *trade surplus*? (2 × 2) (4)

6.3 Explain FOUR characteristics of labour. (4 × 2) (8)

6.4 Why is it important to take note of language and cultural differences when selecting a market in the export industry? (6)

6.5 Explain FOUR negative effects that HIV/Aids have on government. (8)
[30]

TOTAL SECTION B: 120
GRAND TOTAL: 150

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